

ANNUAL FINANCIAL STATEMENTS WITH
INDEPENDENT AUDITOR'S REPORT



UTAH PUBLIC RADIO

UtahStateUniversity

FOR THE YEARS ENDED JUNE 30, 2021 AND 2020

UTAH PUBLIC RADIO

June 30, 2021 and 2020

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INDEPENDENT AUDITORS' REPORT

To the Management of
Utah Public Radio

Report on the Financial Statements

We have audited the accompanying financial statements of Utah Public Radio (a department of Utah State University) as of and for the years ended June 30, 2021 and 2020, and the related notes to the financial statements, which collectively comprise Utah Public Radio's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to Utah Public Radio's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Utah Public Radio's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting

estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of Utah Public Radio as of June 30, 2021 and 2020, and the respective changes in financial position, and cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, the schedule of the proportionate share of net pension liability, and the schedule of pension contributions, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise Utah Public Radio's basic financial statements. The Statement of Functional Expenses is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The Statement of Functional Expenses is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United

States of America. In our opinion, the Statement of Functional Expenses is fairly stated in all material respects in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 17, 2021, on our consideration of Utah Public Radio's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Utah Public Radio's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Utah Public Radio's internal control over financial reporting and compliance.

A handwritten signature in dark ink that reads "Jones Simkins LLC". The signature is written in a cursive, flowing style.

JONES SIMKINS LLC
Logan, Utah
December 17, 2021

UTAH PUBLIC RADIO

Management's Discussion and Analysis

For the Year Ended June 30, 2021

Overview of Financial Statements and Financial Analysis

The following unaudited Management's Discussion and Analysis (MD&A) includes an analysis of Utah Public Radio (UPR) for the fiscal years ended June 30, 2021 and June 30, 2020. The financial statements, footnotes, and this discussion are the responsibility of management. This annual report consists of a series of financial statements, prepared in accordance with the Governmental Accounting Standards Board (GASB) Statement No. 35, *Basic Financial Statements and Management's Discussion and Analysis – for Public Colleges and Universities*. There are three financial statements presented: the Statement of Net Position; the Statement of Revenues, Expenses, and Changes in Net Position; and the Statement of Cash Flows.

Statement of Net Position

The Statement of Net Position outlines UPR's financial condition at fiscal year end. UPR has selected a fiscal year beginning July 1 and ending June 30. This statement reflects the various assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position of UPR.

From the data presented, readers of the Statement of Net Position have the information to determine the assets available to continue the operations of UPR. They may also be able to determine how much UPR owes vendors, investors, and lending institutions. Finally, the Statement of Net Position outlines the net position (assets plus deferred outflows of resources minus liabilities minus deferred inflows of resources) available to UPR and defines that availability.

Condensed Statements of Net Position

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Assets					
Current assets	\$685,941	\$372,581	\$313,360	\$154,695	\$158,665
Capital assets	229,882	(21,851)	251,733	(36,035)	287,768
Other non-current	<u>176,733</u>	<u>176,733</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total assets	<u>1,092,556</u>	<u>527,463</u>	<u>565,093</u>	<u>118,660</u>	<u>446,433</u>
Deferred outflows of resources					
Resources related to pensions	<u>43,266</u>	<u>(51,875)</u>	<u>95,141</u>	<u>20,550</u>	<u>74,591</u>
Total deferred outflows of resources	<u>43,266</u>	<u>(51,875)</u>	<u>95,141</u>	<u>20,550</u>	<u>74,591</u>
Liabilities					
Current liabilities	478,507	293,430	185,077	(22,724)	207,801
Non-current liabilities	<u>7,343</u>	<u>(92,546)</u>	<u>99,889</u>	<u>(110,184)</u>	<u>210,073</u>
Total liabilities	<u>485,850</u>	<u>200,884</u>	<u>284,966</u>	<u>(132,908)</u>	<u>417,874</u>

UTAH PUBLIC RADIO

Management's Discussion and Analysis

For the Year Ended June 30, 2021

Condensed Statements of Net Position (continued)

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Deferred inflows of resources					
Resources related to pensions	103,708	47,067	56,641	46,162	10,479
Total deferred inflows of resources	103,708	47,067	56,641	46,162	10,479
Net position					
Net investment in capital assets	229,882	(21,851)	251,733	(36,035)	287,768
Restricted – nonexpendable	74,835	74,835	0	0	0
Restricted – expendable	45,004	26,987	18,017	0	18,017
Unrestricted	196,543	147,666	48,877	261,991	(213,114)
Total net position	\$546,264	\$227,637	\$318,627	\$225,956	\$92,671

Statement of Revenues, Expenses, and Changes in Net Position

Changes in total net position as presented on the Statement of Net Position are based on the activity presented in the Statement of Revenues, Expenses, and Changes in Net Position. The purpose of this statement is to present the revenues received by UPR, both operating and non-operating, and the expenses paid by UPR.

Operating revenues are received for providing goods and services to the various customers and constituencies of UPR. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues, and to carry out the mission of UPR. Non-operating revenues are revenues received for which goods and services are not provided. For example, state appropriations are non-operating because they are provided by the Legislature to UPR without the Legislature directly receiving commensurate goods and services in return for those revenues. As noted below, without the non-operating revenues, in particular the state appropriations and private gifts, UPR would not be able to cover its costs of operations. These sources are critical to UPR's financial stability and directly impact the quality of its programs.

Condensed Statements of Revenues, Expenses, and Changes in Net Position

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Operating revenues					
Grants and contracts	\$97,287	(\$57,064)	\$154,351	(\$4,990)	\$159,341
Rentals and other revenues	122,628	7,987	114,641	(263)	114,904
Total operating revenues	219,915	(49,077)	268,992	(5,253)	274,245
Operating expenses					
Salaries and wages	474,982	(1,095)	476,077	(50,011)	526,088
Employee benefits	152,394	(8,254)	160,648	3,682	156,966
Actuarial calculated pension expense/(benefits)	(27,264)	33,582	(60,846)	(105,781)	44,935
Other operating expenses	666,888	(77,693)	744,581	149,531	595,050
Total operating expenses	1,267,000	(53,460)	1,320,460	(2,579)	1,323,039
Operating loss	(1,047,085)	4,383	(1,051,468)	(2,674)	(1,048,794)

UTAH PUBLIC RADIO

Management's Discussion and Analysis

For the Year Ended June 30, 2021

Condensed Statements of Revenues, Expenses, and Changes in Net Position (continued)

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Non-operating revenues					
State appropriations	358,389	(13,688)	372,077	(1,778)	373,855
Federal CARES Act	15,000	(97,136)	112,136	112,136	0
Gifts	632,585	80,388	552,197	87,121	465,076
Other non-operating revenues	<u>268,748</u>	<u>27,734</u>	<u>241,014</u>	<u>172,009</u>	<u>69,005</u>
Total non-operating revenues	<u>1,274,722</u>	<u>(2,702)</u>	<u>1,277,424</u>	<u>369,488</u>	<u>907,936</u>
Income/(loss) before other revenues	<u>227,637</u>	<u>1,681</u>	<u>225,956</u>	<u>366,814</u>	<u>(140,858)</u>
Other revenues					
Private grants and gifts for capital purposes	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Net other revenues	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Increase/(decrease) in net position	227,637	1,681	225,956	366,814	(140,858)
Net position – beginning of year	<u>318,627</u>	<u>225,956</u>	<u>92,671</u>	<u>(140,858)</u>	<u>233,529</u>
Net position – end of year	<u><u>\$546,264</u></u>	<u><u>\$227,637</u></u>	<u><u>\$318,627</u></u>	<u><u>\$225,956</u></u>	<u><u>\$92,671</u></u>

The Statement of Revenues, Expenses, and Changes in Net Position reflects a \$227,637 increase in the net position at the end of the fiscal year. As reflected in the Statement of Revenues, Expenses, and Changes in Net Position, UPR experienced an operating loss in fiscal year 2021 of \$1,047,085. This operating loss highlights UPR's dependency on non-operating revenues to meet its cost of operating. In particular, state appropriations and private gifts are key to maintaining UPR's financial health. In fiscal year 2021, UPR received \$358,389 from state appropriations, \$15,000 of Federal CARES Act funding, and \$632,585 in private gifts. There were other non-operating revenues of \$268,748.

Statements of Cash Flows

The final statement presented by UPR is the Statement of Cash Flows. The Statement of Cash Flows presents detailed information about the cash activity of UPR during the fiscal year. The statement is divided into five sections. The first section deals with operating cash flows and shows the net cash used by operating activities. The second section includes cash flows from non-capital financing activities. This section includes the cash received and spent for non-operating, non-investing, and non-capital financing purposes. The third section includes the cash flows from capital and related financing activities. This section includes the cash used for the acquisition and construction of capital and related items. The fourth section includes cash flows from investing activities. This section includes the purchases, proceeds, and interest received from investing activities. The fifth section reconciles the net cash used to the operating loss reflected on the Statement of Revenues, Expenses, and Changes in Net Position. This reconciliation is available for review in the Statement of Cash Flows.

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Management's Discussion and Analysis

For the Year Ended June 30, 2021

Condensed Statements of Cash Flows

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Cash provided/(used) by					
(1) Operating activities	(\$542,126)	\$328,532	(\$870,658)	\$79,831	(\$950,489)
(2) Non-capital financing activities	987,740	(34,275)	1,022,015	197,408	824,607
(3) Capital and related financing activities	0	0	0	0	0
(4) Investing activities	(71,457)	(71,457)	0	0	0
Net increase/(decrease) in cash and cash equivalents	374,157	222,800	151,357	277,239	(125,882)
Cash and cash equivalents – beginning of year	287,337	151,357	135,980	(125,882)	261,862
Cash and cash equivalents – end of year	<u>\$661,494</u>	<u>\$374,157</u>	<u>\$287,337</u>	<u>\$151,357</u>	<u>\$135,980</u>

UPR experienced an increase in cash and cash equivalents during fiscal year 2021. This increase of \$374,157 left UPR with a cash and cash equivalent balance at year-end in the amount of \$661,494. Most of this is comprised of unexpended gifts, grant funds, and Federal CARES Act funds.

Capital Assets

Utah Public Radio had the following capital assets as of June 30, 2021:

	<u>June 30, 2021</u>	<u>Change</u>	<u>June 30, 2020</u>	<u>Change</u>	<u>June 30, 2019</u>
Equipment	\$1,241,510	\$0	\$1,241,510	\$0	\$1,241,510
Accumulated depreciation	(1,011,628)	(21,851)	(989,777)	(36,035)	(953,742)
Total capital assets	<u>\$229,882</u>	<u>(\$21,851)</u>	<u>\$251,733</u>	<u>(\$36,035)</u>	<u>\$287,768</u>

During the fiscal year ending June 30, 2021, there were no capital additions or deletions.

UTAH PUBLIC RADIO

Management's Discussion and Analysis

For the Year Ended June 30, 2021

Economic Outlook

UPR continued to be affected by the coronavirus pandemic as were most organizations and businesses. Conditions did ease in some ways in fiscal year 2021 and UPR was able to bring more staff members back to our facilities. UPR found that some of the new ways of providing news and local programming necessitated by pandemic conditions continued to work well as conditions eased.

During FY21, UPR regained some of the underwriting revenue lost during the height of the pandemic as arts organizations, for example, resumed operations. Underwriting revenues are always somewhat in flux, but UPR saw a steady gradual increase in FY21, and anticipates continued steady growth in FY22.

Membership revenues held steady during FY21, but UPR didn't see the increase in revenue hoped for. UPR will continue to seek ways to increase membership revenues, especially from new members. UPR was able to begin again to interact with members in person by Spring 2021 with events like UPR Pizza "Pi Day" Drive Through event on March 14 in Logan and a very successful outdoor event in Springdale in May, which were greatly appreciated by listeners.

UPR received an American Rescue Plan Act grant under provisions enacted by the U.S. Congress for assistance to public radio and television stations to help make up for losses occasioned by the pandemic. These dollars helped UPR greatly in FY21. UPR has been successful in partnering with other non-profit organizations in securing grants and continues to seek grant funding wherever possible. These efforts were bolstered as COVID-19 relief money from the federal government flowed to partnering organizations who, in turn, partnered with UPR. In addition, UPR continues to seek ways to reduce expenses and plan for long-term needs.

The economic effects of the pandemic will likely continue to be felt by UPR through much of the upcoming fiscal year. Our hope is that the economic effects of the pandemic will continue to ease. UPR continues to seek increases in the amount and sources of revenue.

UPR continues to prioritize member engagement, even during the continuing pandemic, including the recent successful live stage show by The Moth Radio Hour, in concert with UPR member events. UPR also does regular individualized outreach to members.

UPR regularly produces compelling stories, programming and timely news coverage. Our new programming schedule, implemented early in FY21, continues to receive very positive listener response.

Tom Williams

Tom Williams
General Manager of Utah Public Radio
Utah State University

UTAH PUBLIC RADIO

Statements of Net Position

June 30, 2021 and June 30, 2020

	2021	2020
Assets		
Current assets		
Cash and cash equivalents (Notes 1 and 2)	661,494	\$287,337
Accounts receivable (Note 4)	12,898	4,148
Prepaid expenses (Note 1)	11,549	21,875
Total current assets	685,941	313,360
Non-current assets		
Investments restricted for endowments (Notes 1 and 3)	101,822	0
Equipment (Notes 1 and 5)	1,241,510	1,241,510
Accumulated depreciation (Notes 1 and 5)	(1,011,628)	(989,777)
Net pension asset (Note 9)	74,911	0
Total non-current assets	406,615	251,733
Total assets	1,092,556	565,093
Deferred outflows of resources		
Resources related to pensions (Note 9)	43,266	95,141
Total deferred outflows of resources	43,266	95,141
Liabilities		
Current liabilities		
Accounts payable (Note 6)	34,825	3,413
Accrued salaries and benefits	50,271	53,705
Liability for compensated absences (Note 7)	42,995	40,022
Unearned revenue (Note 1)	350,416	87,937
Total current liabilities	478,507	185,077
Non-current liabilities		
Liability for compensated absences (Note 7)	7,343	13,977
Net pension liability (Note 9)	0	85,912
Total non-current liabilities	7,343	99,889
Total liabilities	485,850	284,966
Deferred inflows of resources		
Resources related to pensions (Note 9)	103,708	56,641
Total deferred inflows of resources	103,708	56,641
Net position		
Net investment in capital assets	229,882	251,733
Restricted		
Non-expendable		
Endowments	74,835	0
Expendable		
Donor purposes	26,987	0
Capital projects	18,017	18,017
Unrestricted	196,543	48,877
Total net position	\$546,264	\$318,627

The accompanying notes are an integral part of the financial statements

UTAH PUBLIC RADIO

Statements of Revenues, Expenses, and Changes in Net Position For the Years Ended June 30, 2021 and June 30, 2020

	2021	2020
Operating revenues		
Grants and contracts	97,287	\$154,351
Rents and other revenues	122,628	114,641
Total operating revenues	219,915	268,992
Operating expenses		
Salaries and wages	474,982	476,077
Employee benefits	152,394	160,648
Actuarial calculated pension expense/(benefit)	(27,264)	(60,846)
Other operating expenses	666,888	744,581
Total operating expenses	1,267,000	1,320,460
Operating loss	(1,047,085)	(1,051,468)
Non-operating revenues/(expenses)		
State appropriations	358,389	372,077
CARES Act	15,000	112,136
Facilities and administrative support	175,956	185,100
Gifts	632,585	552,197
Underwriter tradeouts	62,427	55,914
Investment income	30,365	0
Total non-operating revenues	1,274,722	1,277,424
Increase/(decrease) in net position	227,637	225,956
Net position – beginning of year	318,627	92,671
Net position – end of year	\$546,264	\$318,627

The accompanying notes are an integral part of the financial statements

UTAH PUBLIC RADIO

Statements of Cash Flows

For the Years Ended June 30, 2021 and June 30, 2020

	2021	2020
Cash flows from operating activities		
Grants and contracts	\$359,544	\$151,274
Rents and other revenues	114,100	88,295
Payments to employees for salaries and benefits	(669,088)	(659,060)
Payments to suppliers	(346,682)	(451,167)
Net cash used by operating activities	(542,126)	(870,658)
Cash flows from non-capital financing activities		
State appropriations	358,389	372,077
CARES Act	15,000	112,136
Private gifts	614,351	537,802
Net cash provided by non-capital financing activities	987,740	1,022,015
Cash flows from capital and related financing activities		
Private grants and gifts for capital purposes	0	0
Net cash provided/(used) by capital and related financing activities	0	0
Cash flows from investing activities		
Purchases of investments	(74,835)	0
Proceeds from sale of investments	0	0
Interest and dividends received from investments	3,378	0
Net cash provided/(used) by investing activities	(71,457)	0
Net increase/(decrease) in cash and cash equivalents	374,157	151,357
Cash and cash equivalents – beginning of year	287,337	135,980
Cash and cash equivalents – end of year	<u>\$661,494</u>	<u>\$287,337</u>

The accompanying notes are an integral part of the financial statements

UTAH PUBLIC RADIO

Statements of Cash Flows

For the Years Ended June 30, 2021 and June 30, 2020

	2021	2020
Reconciliation of operating loss to net cash used by operating activities		
Operating loss	(\$1,047,085)	(\$1,051,468)
Adjustments to reconcile operating loss to net cash used by operating activities		
Depreciation expense	21,851	36,035
Underwriter tradeouts	62,427	55,914
Gifts-in-kind	18,234	14,395
Facilities and administrative support	175,956	185,100
Changes in assets, deferred outflows, liabilities, and deferred inflows		
Accounts receivable	(8,750)	(3,418)
Prepaid expenses	10,326	80
Net pension asset	(74,911)	0
Deferred outflows resources related to pension	51,875	(20,550)
Accounts payable	31,412	1,890
Accrued salaries and benefits	(3,434)	2,470
Compensated absences	(3,661)	2,039
Unearned revenue	262,479	(26,005)
Net pension liability	(85,912)	(113,302)
Deferred inflows resources related to pension	47,067	46,162
Net cash used by operating activities	(\$542,126)	(\$870,658)

The accompanying notes are an integral part of the financial statements

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

1. Summary of Significant Accounting Policies

This summary of significant accounting policies of Utah Public Radio (UPR) is presented to assist in understanding UPR's financial statements. UPR's financial statements and notes are a representation of UPR's management, who are responsible for their integrity and objectivity. These accounting policies conform to generally accepted accounting principles as applicable to colleges and universities using the principles and standards established by the Governmental Accounting Standards Board.

Organization

UPR is a department of Utah State University (University) and is governed directly by the Dean of the College of Humanities and Social Sciences. The legal call letters are KUSU-FM which is the flagship station for the Utah Public Radio System and KUSR which is a licensed booster station.

Funding for the operations of UPR is provided mainly by state appropriations, private donations, and community service grants provided by the Corporation for Public Broadcasting (CPB).

Accounting Policies

The accounting policies of UPR conform in all material respects with generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

UPR's financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Revenues, expenses, gains, losses, assets and liabilities resulting from exchange and exchange-like transactions are recognized when the exchange takes place. Revenues from government-mandated or voluntary non-exchange transactions such as contributions, gifts and grants are recognized when all applicable eligibility requirements are met. Contributions, gifts and grants that do not have eligibility requirements are reported as revenue when UPR is entitled to the funds. When both restricted and unrestricted resources are available for use, it is the policy of UPR to use restricted resources first, then unrestricted resources as they are needed. UPR records appropriations from the State of Utah as unrestricted revenue. UPR recognizes expenditures as expenses when they expend them or when they accrue the liability.

Use of Estimates in Financial Statements

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents consist of cash held in the University's Cash Management Investment Pool (CMIP). The University pools all cash (including UPR's cash) not separately deposited for trusts or other specific purposes. The University invests cash in excess of daily operating requirements according to the Utah State Money Management Act. The pooled cash is not insured or otherwise guaranteed by the State, and participants share proportionally in any realized gains or losses on investments. UPR's equity in the CMIP is immediately convertible to cash at any time to meet the operating needs of UPR. For more detailed information about investments in the University's CMIP refer to Utah State University's Annual Financial Report at www.usu.edu/controller.

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Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

1. Summary of Significant Accounting Policies (continued)

Investments Restricted for Endowment

Utah Public Radio's investments are pooled with the University as a whole in the University's endowment pool. Amounts reported as investments in UPR's financial statements reflect UPR's proportionate ownership of that pool. Therefore, UPR does not have separate accounts in financial institutions. Thus, disclosures of fair value and risk related to investments apply at the University level. See the financial statements of Utah State University for those disclosures.

Investments are recorded at fair value in accordance with GASB Statement No. 72, *Fair Value Measurement and Application*. Accordingly, the change in fair value of investments is recognized as an increase or decrease to investment assets and investment income. The University accounts for its investments at fair value in accordance with GASB Statement No. 31, *Accounting and Financial Reporting for Certain Investments and for External Investment Pools*. Changes in unrealized gain (loss) on the carrying value of investments are reported as a component of investment income in the Statement of Revenues, Expenses, and Changes in Net Position.

A portion of the University's endowment portfolio is invested in "alternative investments". These investments, unlike more traditional investments, generally do not have readily obtainable market values and typically take the form of limited partnerships. The University values these investments based on the values provided by the partnerships as well as their audited financial statements. If June 30 statements are available, those values are used preferentially. However, some partnerships have fiscal years ending at other than June 30. If June 30 valuations are not available, the value is progressed from the most recently available valuation taking into account subsequent capital calls and distributions.

Prepaid Expenses

UPR records costs incurred for programs not yet broadcast and expenses paid for future periods as prepaid expenses. These costs are related to paid subscribed programs that will be broadcast after June 30. As UPR broadcasts these programs, the costs will be in operating expenses. UPR evaluates the status of the programs annually.

Capital Assets

Capital assets consist of equipment. Capital assets are defined by UPR as assets with an initial unit cost of \$5,000 or more. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the assets or materially extend assets' lives are not capitalized. Equipment of UPR is depreciated using the straight-line method over three to ten years, except the broadcasting tower which is being depreciated over forty years using the straight-line method.

Deferred Outflows and Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then. UPR has one item that qualifies for reporting in this category; which is related to deferred pension expense and will be amortized to pension expense over the ensuing years.

In addition to liabilities, the statement of net position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time. UPR has one item that qualifies for reporting in this category; which is related to deferred pension expense and will be amortized to pension expense over the ensuing years.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

1. Summary of Significant Accounting Policies (continued)

Pension Related Assets, Liabilities, Deferred Outflows, and Deferred Inflows

UPR records its share of any unfunded liability associated with participation in the defined benefit plans of the Utah Retirement Systems (Systems). For purposes of measuring the net pension liability, deferred outflows of resources related to pensions, deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Systems' Pension Plan and additions to or deductions from the Systems' fiduciary net position are determined on the same basis as they are reported by the Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefits terms. Investments are reported at fair value.

Unearned Revenue

Unearned revenue consists of advance receipts for rent of tower facilities to private businesses and unearned grant revenue.

Facilities and Administrative Support

The University donates office and studio space to UPR and records the related occupancy costs following procedures established by the Corporation for Public Broadcasting. The University also provides other administrative support to UPR consisting of allocated institutional support and physical plant operating costs. These costs are allocated to UPR based on a ratio of square footage occupied as well as salary and wages compared to University totals.

Underwriter Tradeouts

UPR has entered into several underwriting trade agreements with local businesses that provide goods and services in trade for underwriting credit and other media recognition. The Corporation for Public Broadcasting considers these trade agreements as donations.

Employee Leave

Sick leave is not accrued but is recorded in the period of actual use. Sick leave does not vest but is allowed on an earned time basis. At the end of each calendar year employees who have accumulated forty-eight days of sick leave may convert up to four days of sick leave to annual leave subject to other restrictions of the University. Annual leave, including converted sick leave, is accrued and reported as earned. Employees are allowed to carry over a maximum of thirty-four days annual leave. The thirty-four days is variable depending on the number of sick leave days the employee is allowed to convert at calendar year end.

Net Position

UPR's net position is classified as follows:

Net investment in capital assets: This represents UPR's total investment in capital assets.

Restricted – nonexpendable: Restricted – nonexpendable net position consists of endowment and similar-type funds which, as a condition of the gift instruments, the donors or other outside sources have stipulated that the principal is to be maintained inviolate and in perpetuity and invested for the purpose of producing present and future income. The income may either be expended or added to principal.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

1. Summary of Significant Accounting Policies (continued)

Restricted – expendable: Restricted – expendable net position includes resources in which UPR is legally or contractually obligated to spend in accordance with restrictions imposed by external third parties.

Unrestricted: Unrestricted net position represents resources derived from rents, other revenues, and gift donations. These resources are used for transactions relating to the educational and general operations of UPR and may be used at the discretion of UPR to meet current expenses for any purpose.

Income Taxes

As a department of Utah State University, which is exempt from income taxes under Section 115(1) and 501(c)(3) of the Internal Revenue Code, UPR is also exempt from income taxes.

Classification of Revenues and Expenses

Operating revenues: Operating revenues include activities that have characteristics of exchange transactions such as most federal, state, and local contracts and grants.

Non-operating revenues: Non-operating revenues include activities that have the characteristics of non-exchange transactions such as gifts and state appropriations.

All expense transactions are classified as operating expenses.

2. Cash and Cash Equivalents and Deposits

Cash and cash equivalents consisted of the following at June 30, 2021, and June 30, 2020:

	<u>2021</u>	<u>2020</u>
Claim on cash in the University's		
Cash Management Investment Pool	\$661,494	\$287,337

Deposits and bank balances held by CMIP of the University are insured to the extent allowed by the Federal Deposit Insurance Corporation. The balances in excess of these amounts are uninsured and uncollateralized and exposed to custodial credit risk. All deposits are held by a qualified depository as defined by the State Money Management Act. The State of Utah does not require collateral on deposits.

Custodial credit risk for deposits is the risk that, in the event of a bank failure, the University's deposits may not be returned to the University. The University does not have a formal deposit policy for custodial credit risk.

3. Investments Restricted for Endowments

Utah Public Radio participates in the University's endowment pool. UPR holds an interest in the University's endowment pool, but not in specific investment instruments within that pool. The University maintains a separate account for each participant in the pool. Investment income, gains, losses, and expenses of the pool are allocated to each participant based on their share of ownership in the pool and are reflected as investment income in the accompanying statement of revenues, expenses, and changes in net position.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

3. Investments Restricted for Endowments (continued)

As of June 30, 2021 and 2020, total endowment gifts and unspent earnings are \$101,822 and \$0, respectively, of which \$74,835 is corpus and is not expendable. The corpus is reported in restricted non-expendable net position on the statement of net position.

For endowment funds, the University follows the requirements of the Uniform Prudent Management of Institutional Funds Act (UPMIFA), Utah Board of Higher Education Policy R541, *Management and Reporting of Institutional Investments*, and the University's Investment Policy and endowment guidelines.

The UPMIFA and Policy R541 allow the University to invest endowment funds (including gifts, devises, or bequests of property of any kind from any source) in any of the above investments or any of the following, subject to certain criteria: mutual funds registered with the Securities and Exchange Commission, investments sponsored by the Commonfund; any investment made in accordance with the donor's directions in a written instrument; investments in corporate stock listed on a major exchange (direct ownership); and any alternative investment funds that derive returns primarily from high yield and distressed debt (hedged or non-hedged), private capital (including venture capital and private equity), natural resources, and private real estate assets or absolute return and long/short hedge funds.

The University's Investment Policy allows the University to invest endowment funds in investments authorized by the State Money Management Act (Utah Code, Title 51, Chapter 7) (the Act) or any of the following investments: readily marketable equities, which are diversified across a spectrum of market capitalizations, multiple regions, by issue, industry, and sector; readily marketable fixed income investments diversified by country, issue, sector, coupon, and quality; bonds having a minimum quality of "A" or better; and alternative investments that derive returns primarily from high-yield and distressed debt (hedged or non-hedged), natural resources, private capital (including venture capital, private equity, both domestic and international), commodities, private real estate assets or absolute return, and long/short hedge funds. In addition, endowment funds may be invested as specifically directed by donor agreements.

According to the University's Investment Policy, the governing board may appropriate for expenditure as much of the net appreciation, realized and unrealized, of an endowment's corpus as is prudent under the facts and circumstances prevailing at the time of the action or decision. The appropriation must be for the purposes for which the endowment is established and also includes a management fee.

The endowment income spending policy at June 30, 2021, was 4 percent of the 12 quarter moving average of the market value of the endowment pool with a one year lag. The spending policy is reviewed periodically and any necessary changes are made.

The amount of net appreciation on investments of donor-restricted endowments available for authorization for expenditure at June 30, 2021 and 2020, was \$26,987 and \$0, respectively. The net appreciation is a component of restricted-expendable net position.

The investments within the University's endowment pool are exposed to risks that have the potential to result in losses. Those risks and their definitions are:

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

3. Investments Restricted for Endowments (continued)

Interest Rate Risk:

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The University's policy for managing its exposure to fair value loss arising from increasing interest rates is to comply with the Act or the University's Investment Policy, as applicable. For non-endowment funds, the Act requires that the remaining term to maturity of investments may not exceed the period of availability of the funds to be invested. The Act further limits the remaining term to maturity on all investments in commercial paper, bankers' acceptances, fixed-rate negotiable deposits, and fixed-rate corporate obligations to 270 days – 15 months or fewer. The Act further limits the remaining term to maturity on all investments in obligations of the United States Treasury; obligations issued by U.S. government sponsored enterprises; and bonds, notes, and other evidence of indebtedness of political subdivisions of the State to five years. In addition, variable-rate negotiable deposits and variable-rate securities may not have a remaining term to final maturity exceeding three years. For endowment funds, the University's Investment Policy requires only that investments be made as a prudent investor would, by considering the purposes, terms, distribution requirements, and other circumstances of the endowments and by exercising reasonable care, skill, and caution.

Credit Risk:

Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligation. The University's policy for reducing its exposure to credit risk is to comply with the State Money Management Act and the University's Investment Policy.

Concentration of Credit Risk:

Concentration of credit risk is the risk of loss attributed to the magnitude of a government's investment in a single issuer. The University's policy for reducing this risk of loss is to comply with the rules of the State of Utah Money Management Council. For endowment funds, the University policy requires diversification of investments across a broad spectrum and specific limits to concentration of securities within categories of equities, fixed income, and alternatives. Rule 17 of the State of Utah Money Management Council limits non-endowment fund investments in a single issuer of commercial paper and corporate obligations to 5-10 percent depending upon the total dollar amount held in the portfolio at the time of purchase. The State of Utah Money Management Council limitations do not apply to securities issued by the U.S. Government and its agencies. For endowments, the University, under Policy R541, is permitted to establish its own investment policy which adheres to the guidelines established by UPMIFA.

Custodial Credit Risk:

Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty, the University will not be able to recover the value of the investments or collateral securities that are in the possession of an outside party. The University does not have a formal investment policy for custodial credit risk.

4. Accounts Receivable

Accounts receivable consist of amounts receivable from tower rentals, but the payments have not been received as of year end. All receivables are considered fully collectible.

5. Capital Assets

Equipment is valued at cost when purchased or acquisition value at the date of donation in the case of gifts.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

5. Capital Assets (continued)

The change in capital assets from June 30, 2020 to June 30, 2021 consists of:

	<u>June 30, 2020</u>	<u>Additions</u>	<u>Deletions</u>	<u>June 30, 2021</u>
Equipment	\$1,241,510	\$0	\$0	\$1,241,510
Accumulated depreciation	(989,777)	(21,851)	0	(1,011,628)
	<u>\$251,733</u>	<u>(\$21,851)</u>	<u>\$0</u>	<u>\$229,882</u>

The change in capital assets from June 30, 2019 to June 30, 2020 consists of:

	<u>June 30, 2019</u>	<u>Additions</u>	<u>Deletions</u>	<u>June 30, 2020</u>
Equipment	\$1,241,510	\$0	\$0	\$1,241,510
Accumulated depreciation	(953,742)	(36,035)	0	(\$989,777)
	<u>\$287,768</u>	<u>(\$36,035)</u>	<u>\$0</u>	<u>\$251,733</u>

6. Accounts Payable

All accounts payable consist of payables to suppliers.

7. Non-Current Liabilities

	<u>June 30, 2020</u>	<u>Additions</u>	<u>Deletions</u>	<u>June 30, 2021</u>	<u>Amounts Due Within One Year</u>
Liability for compensated absences	\$53,999	\$43,457	(\$47,118)	\$50,338	\$42,995
Net pension liability	<u>85,912</u>	<u>0</u>	<u>(85,912)</u>	<u>0</u>	<u>0</u>
Total non-current liabilities	<u>\$139,911</u>	<u>\$43,457</u>	<u>(\$133,030)</u>	<u>\$50,338</u>	<u>\$42,995</u>

8. Economic Dependency

UPR received approximately 36 percent of its funding from Utah State University for the year ended June 30, 2021.

9. Pension Plans and Retirement Benefits

Eligible employees of Utah State University who work at Utah Public Radio are covered by the Utah Retirement Systems (Systems), Teachers Insurance and Annuity Association (TIAA), and/or Fidelity Investments (Fidelity). Employees may also participate in defined contribution plans consisting of 401(k) and 457 plans managed by the Systems, TIAA, or Fidelity.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

9. Pension Plans and Retirement Benefits (continued)

Defined Benefit Pension Plans

Eligible employees of UPR are provided with the following defined benefit pension plan (cost-sharing, multiple-employer plan) administered by the Utah Retirement Systems:

Public Employees Noncontributory Retirement System (Tier 1 Noncontributory System)

The Utah Retirement Systems are established and governed by the respective sections of Title 49 of the Utah Code. The Systems' defined benefit plans are amended statutorily by the Utah legislature. The Utah State Retirement Office Act in Title 49 provides for the administration of the Systems under the direction of the board, whose members are appointed by the governor. The Systems are fiduciary funds defined as pension (and other employee benefit) trust funds. The Systems are a component unit of the State of Utah. Title 49 of the Utah Code grants the authority to establish and amend the benefit terms. The Utah Retirement Systems issues a publicly available financial report that may be obtained by writing to the Utah Retirement Systems, 560 East 200 South, Salt Lake City, Utah 84102 or visiting the website: www.urs.org.

Benefits provided - The Utah Retirement Systems provide retirement, disability, and death benefits to participants in the defined benefit pension plans. Retirement benefits for each defined benefit plan are as follows:

System	Final Average Salary	Years of Service Required and/or Age Eligible for Benefit	Benefit Percent Per Year of Service	COLA**
Tier 1 Noncontributory System	Highest 3 years	30 years any age 25 years any age * 20 years age 60* 10 years age 62* 4 years age 65	2% per year all years	Up to 4%

* With actuarial reductions

** All post-retirement cost-of-living adjustments are non-compounding and are based on the original benefit. The cost-of-living adjustments are also limited to the actual Consumer Price Index (CPI) increase for the year, although unused CPI increases not met may be carried forward to subsequent years.

Contributions - As a condition of participation in the Systems, employers and/or employees are required to contribute certain percentages of salary and wages as authorized by statute and specified by the Systems' board. Contributions are actuarially determined as an amount that, when combined with employee contributions (where applicable), is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded actuarial accrued liability. For the year ended June 30, 2021 the required contribution rates for the plans were as follows:

System	Rates Paid by Employee	by Employer for Employee	Employer Contribution Rates
Tier 1 Noncontributory System	N/A	N/A	22.19%

For the year ended June 30, 2021, employer and employee contributions to the plans were as follows:

System	Employer Contributions	Employees' Contributions
Tier 1 Noncontributory System	\$34,883	N/A

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

9. Pension Plans and Retirement Benefits (continued)

Pension assets, liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions - At June 30, 2021, UPR reported a net pension asset of \$74,911. The net asset was measured as of December 31, 2020, and the total pension asset used to calculate the net pension asset was determined by an actuarial valuation as of January 1, 2020 and rolled forward using generally accepted actuarial procedures. UPR's proportion of the net pension asset was based upon actual historical employer contributions to defined benefit pension plans for pay periods ending in 2020. At December 31, 2020, UPR's proportionate shares in the defined benefit pension plans were as follows:

System	Proportionate Share	Net Pension Asset
Tier 1 Noncontributory System	0.0759522%	\$74,911

For the year ended June 30, 2021, UPR reported deferred outflows of resources and deferred inflows of resources related to defined benefit pension plans from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$24,800	\$1,137
Changes in assumptions	2,244	0
Net difference between projected and actual earnings on pension plan investments	-	100,808
Changes in proportion and differences between contributions and proportionate share of contributions	-	1,763
Contributions subsequent to the measurement date	16,222	0
Total	<u>\$43,266</u>	<u>\$103,708</u>

Contributions made between January 1, 2021 and June 30, 2021, of \$16,222 are reported as deferred outflows of resources related to pensions. These contributions will be recognized as a reduction of net pension liability in the upcoming fiscal year. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

9. Pension Plans and Retirement Benefits (continued)

Year Ended December 31	Deferred Outflows (Inflows) of Resources
2021	(\$6,906)
2022	(18,259)
2023	(35,247)
2024	(16,252)
2025	0
Thereafter	0

Actuarial assumptions - The total pension liability in the December 31, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5%	
Salary Increases	3.25% - 9.75%	Average, including inflation
Investment Rate of Return	6.95%	Net of pension plan investment expense, including inflation

Mortality rates were adopted from an actuarial experience study dated January 1, 2020. The retired mortality tables are developed using URS retiree experience and are based upon gender, occupation, and age as appropriate with projected improvement using 80% of the ultimate rates from the MP-2019 improvement assumption using a base year of 2020. The mortality assumption for active members is the PUB-2010 Employees Mortality Table for public employees, teachers, and public safety members, respectively.

The actuarial assumptions used in the January 1, 2020 valuation were based on the results of an actuarial experience study for the five-year period ending December 31, 2019.

Changes in Assumptions - There were a number of demographic assumptions (e.g. rates of termination, disability, retirement, as well as an updated mortality and salary increase assumption) updated for use in the January 1, 2020, actuarial valuation. These assumption updates were adopted by the Utah State Retirement Board as a result of an Actuarial Experience Study performed for the Utah Retirement Systems. In aggregate, those assumption changes resulted in a \$201 million increase in the Total Pension Liability, which is about 0.50% of the Total Pension Liability as of December 31, 2019, for all systems combined. The Actuarial Experience Study report as of December 31, 2019, provides detailed information regarding those assumption changes, which may be accessed online at newsroom.urs.org under the "Retirement Office" column using the "Reports and Stats" tab.

The long-term expected rate of return on pension plan investments was determined using a building-block method, in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class and is applied consistently to each defined benefit pension plan. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

9. Pension Plans and Retirement Benefits (continued)

Asset Class	Expected Return Arithmetic Basis		Long-Term Expected Portfolio Real Rate of Return
	Target Asset Allocation	Real Return Arithmetic Basis	
Equity securities	37.00%	6.30%	2.33%
Debt securities	20.00%	0.00%	0.00%
Real assets	15.00%	6.19%	0.93%
Private equity	12.00%	9.50%	1.14%
Absolute return	16.00%	2.75%	0.44%
Total	100.00%		4.84%
Inflation			2.50%
Expected arithmetic nominal return			7.34%

The 6.95 percent assumed investment rate of return is comprised of an inflation rate of 2.5 percent and a real return of 4.45 percent that is net of investment expense.

Discount rate - The discount rate used to measure the total pension liability was 6.95 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from all participating employers will be made at contractually required rates that are actuarially determined and certified by the URS Board. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current, active, and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability. The discount rate does not use the Municipal Bond Index Rate. The discount rate remained unchanged at 6.95.

Sensitivity of UPR's proportionate share of the net pension asset and liability to changes in the discount rate -The following presents the proportionate share of the net pension liability (asset) calculated using the discount rate of 6.95 percent, as well as what the proportionate share of the net pension liability (asset) would be if it were calculated using a discount rate that is 1 percentage point lower (5.95%) or 1 percentage point higher (7.95%) than the current rate:

System	Proportionate Share of Net Pension Liability (Asset)		
	1% Decrease	Discount Rate	1% Increase
Tier 1 Noncontributory System	5.95%	6.95%	7.95%
	\$134,902	(\$74,911)	(\$249,143)

Pension plan fiduciary net position - Detailed information about the pension plan's fiduciary net position is available in the separately issued Systems' financial report.

UTAH PUBLIC RADIO

Notes to Financial Statements

For the Years Ended June 30, 2021 and June 30, 2020

9. Pension Plans and Retirement Benefits (continued)

Defined Contribution Plans

Defined contribution plans are available as supplemental plans to the basic retirement benefits of the defined benefit pension plans and as a primary retirement plan for some Tier 2 participants. Participants in the defined contribution plans are fully vested in employer and employee contributions at the time the contributions are made, except Tier 2 required employer contributions and associated earnings are vested after four years of employment. Benefits depend on amounts contributed to the plans plus investment earnings. Individual accounts are provided for each employee and are available at termination, retirement, death, or unforeseeable emergency.

401(k) Plans - For employees participating in defined benefit plans, UPR is also required to contribute 0.89 percent of the employee's salary into a 401(k) plan.

EMIA, TIAA and/or Fidelity - EMIA, TIAA and/or Fidelity provide individual defined contribution retirement fund contracts with each participating employee. Employees may allocate contributions by UPR to any or all of the providers and the contracts become vested at the time the contribution is made. Employees are eligible to participate from the date of employment and are not required to contribute to the fund. Benefits provided to retired employees are based on the value of individual contracts and the estimated life expectancy of the employee at retirement. UPR's contribution to this multiple employer defined contribution plan was 14.2 percent of the employees' annual salary. UPR has no further liability once annual contributions are made.

Contributions to the defined contribution plans for the fiscal year ending June 30, 2021 were as follows:

Defined Contribution Plans	Employer Contributions	Employees' Contributions
401(k) Plan	\$2,358	\$2,400
EMIA, TIAA and/or Fidelity	\$41,385	\$5,692

UTAH PUBLIC RADIO

Required Supplementary Information

Proportionate Share of the Net Pension Liability

As of December 31

	Tier 1 Noncontributory System						
	2020	2019	2018	2017	2016	2015	2014
Proportion of net pension liability/(asset)*	(0.0759522%)	0.0023091%	0.0053545%	0.0058604%	0.0060808%	0.0061857%	0.0072618%
Proportionate share of net pension liability/(asset)	(\$74,911)	\$85,912	\$199,214	\$143,308	\$197,074	\$194,310	\$182,455
Covered payroll	\$157,203	\$155,403	\$147,041	\$155,715	\$157,948	\$157,632	\$188,382
Proportionate share of net pension liability/(asset) as a percentage of covered payroll	(47.7%)	55.3%	135.5%	92.0%	124.8%	123.3%	96.9%
Plan fiduciary net position as a percentage of total pension liability/(asset)	104.7%	94.2%	84.1%	89.2%	84.9%	84.5%	87.2%

* The change in the proportion of net pension liability (asset) in 2019 is due to Utah Retirement Systems creating a separate pool for higher education.

Note: UPR implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, in fiscal year 2015. Information on UPR's portion of the plan's net pension liability (asset) is not available for periods prior to fiscal year 2015.

UTAH PUBLIC RADIO

Required Supplementary Information

Schedule of Contributions to the Utah Retirement Systems

For the Years Ending June 30,

NONCONTRIBUTORY SYSTEM	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Contractually Required Contribution	\$34,883	\$34,484	\$32,629	\$34,553	\$35,049	\$34,979	\$41,517	\$42,470	\$39,556	\$38,717
Contributions in Relation to the Contractually	34,883	34,484	32,629	34,553	35,049	34,979	41,517	42,470	39,556	38,717
Contribution Deficiency (Excess)	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Covered Payroll	\$157,203	\$155,403	\$147,041	\$155,715	\$157,948	\$157,632	\$188,382	\$205,240	\$212,498	\$230,221
Contributions as a Percentage of Covered Payroll	22.19%	22.19%	22.19%	22.19%	22.19%	22.19%	22.04%	20.69%	18.61%	16.82%

UTAH PUBLIC RADIO

Statement of Functional Expenses

For the Years Ended June 30, 2021 and June 30, 2020

	Program Services				Support Services							
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	Management and General	Fundraising and Membership Development	Underwriting and Grant Solicitation	Total Support Services	2021 Total	2020 Total	% Change	% of Total Expen- ditures
Salaries, wages, and benefits	\$173,558	\$88,999	\$35,801	\$298,358	\$172,146	\$74,323	\$55,285	\$301,754	\$600,112	\$575,879	4.21%	47.36%
Public and employee relations	226,028	138	0	226,166	12,800	63,980	14	76,794	302,960	332,637	-8.92%	23.91%
Indirect costs and occupancy	50,907	26,080	10,466	87,453	50,480	21,804	16,219	88,503	175,956	185,100	-4.94%	13.89%
Supplies and non-inventoried equipment	4,316	3,019	0	7,335	14,924	6,392	1,090	22,406	29,741	19,581	51.89%	2.35%
Contractual services	8,443	77,229	0	85,672	11,200	450	0	11,650	97,322	110,023	-11.54%	7.68%
General services	4,028	721	0	4,749	7,346	2,500	2,110	11,956	16,705	21,292	-21.54%	1.32%
Repairs and maintenance	0	7,832	0	7,832	6	0	0	6	7,838	12,306	-36.31%	0.62%
Depreciation	0	21,851	0	21,851	0	0	0	0	21,851	36,035	-39.36%	1.72%
Travel	237	925	0	1,162	0	1,304	-	1,304	2,466	6,392	-61.42%	0.19%
Other	0	149	0	149	8,344	3,556	0	11,900	12,049	21,215	-43.21%	0.95%
Total operating expenditures	<u>\$467,517</u>	<u>\$226,943</u>	<u>\$46,267</u>	<u>\$740,727</u>	<u>\$277,246</u>	<u>\$174,309</u>	<u>\$74,718</u>	<u>\$526,273</u>	<u>\$1,267,000</u>	<u>\$1,320,460</u>	<u>-4.05%</u>	<u>100.00%</u>



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INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT
OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS

To the Management of
Utah Public Radio

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Utah Public Radio (a department of Utah State University), as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise Utah Public Radio's basic financial statements, and have issued our report thereon dated December 17, 2021.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Utah Public Radio's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Utah Public Radio's internal control. Accordingly, we do not express an opinion on the effectiveness of Utah Public Radio's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Utah Public Radio's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly this communication is not suitable for any other purpose.



JONES SIMKINS LLC
Logan, Utah
December 17, 2021